

mittee also informs and guides the company's long-term ESG strategy.

Strong governance includes a set of rules and guidelines that determine how a company is operated and managed. The main objective is to make sure that the company acts in a transparent and accountable manner and that its leadership acts in the best interest of stakeholders. If followed diligently, it leads to a more resilient organisation that can better anticipate and mitigate potential, including sustainability-related risks such as environmental incidents, social unrest, or regulatory non-compliance, say experts.

CHALLENGES AHEAD

But while ESG is good for business, not all Indian companies are ready. Deloitte's latest India's ESG preparedness survey reveals that only 27 per cent of the businesses that were part of the study are well-prepared to meet ESG requirements, while only 15 per cent of organisations' suppliers are ESG-ready.

What's surprising is that less than half (49 per cent) of the respondents are aware of India's ESG reporting mechanisms and regulations. While commitment to ESG principles is high, there is a significant gap in preparedness and action, with the majority believing that there is a need to simplify ESG compliance or improve ESG reporting procedures.

There are multiple challenges that prevent ESG from being adopted by all. The primary one faced by organisations in India is the lack of understanding of its benefits. This issue is even more pertinent in the case of small- and mid-sized businesses. According to experts, most organisations in India perceive ESG practices as a cost rather than an opportunity. ESG considerations often require overhauling business processes that may have been functioning successfully for a long period. "Many organisations consider it expensive and complex as it may involve the integration of new technology, adherence to

stringent government regulations, the transformation of major operations, employee resistance to change, etc., while some find it difficult to identify the relevant performance indicators they need to monitor," says Praveen Mysore, Technical Director at Dassault Systèmes India. Even if organisations are successful in identifying and monitoring the performance indicators the first time, continuing to do so is often considered a tedious process requiring dedicated resources and coordination across teams to keep track of real-time data and meet reporting requirements. Due to this, ESG-related investments take a back seat.

Even though regulatory guidelines force companies into ESG compliance, the lack of universal benchmarking or standardisation in selecting an approach for the assessment of a company is proving to be another hindrance. Also, there are no regulations that demand that all the companies disclose ESG factors, say experts. Regulatory bodies are trying to overcome these challenges by creating standard guidelines for companies to adhere to and make their own ESG strategies.

Plus, there is an absence of skilled ESG professionals capable of working within the confines of sustainability from an operational perspective, which is further complicated by rapidly evolving frameworks and regulations. As ESG practices and alignment with sustainability creates higher value for firms, it also emerges as an opportunity to create value, profit, and raise capital. And if not already, businesses should begin analysing, strategising, and disclosing their ESG impact today to mitigate risk, build resilience, and future-proof themselves.

In the pages that follow, read about how India Inc. is progressing on its path to sustainability. **BT**

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WHO'S DOING WHAT

A look at what some companies are doing under the various heads of ESG

ENVIRONMENTAL

- **The Mithapur plant of Tata Chemicals is water neutral; the plant charges treated water back into the ground**
- **Sutlej Textiles and Industries uses post-consumer recycled polyester in drapery and upholstery, leading to less consumption of water and energy**

SOCIAL

- **P&G offers eight weeks of paternity leave, health and financial benefits to LGBTQ+ employees**
- **Crompton Greaves Consumer Electricals is upskilling its plumbing workforce**

GOVERNANCE

- **Godrej Consumer Products has an internal ESG committee that helps inform and guide the company's long-term ESG strategy**